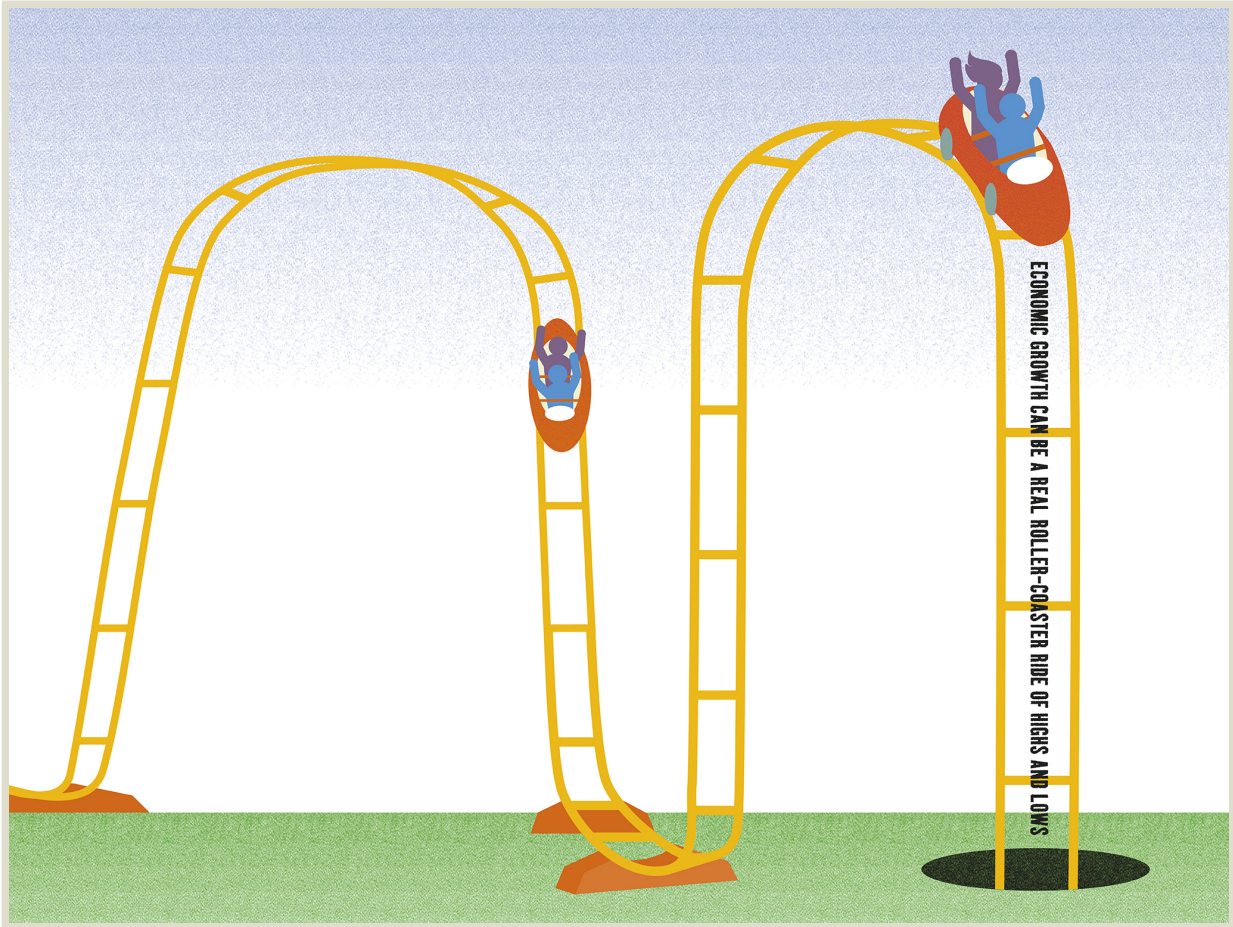




Market ups and downs

Economic activity in a market is not steady, but has ups and downs. Circumstances outside the market can effect supply and demand, leading to periods of growth and decline.



THE WALL STREET CRASH

A dramatic example of boom and bust in the 20th century was the the Wall Street Crash. In the 1920s, business was booming in the stock market on Wall Street in New York, reflecting

America's growing economy. But the situation changed sharply in 1929 when companies crashed, marking the start of the Great Depression that continued for the next decade.



Slowing economic activity is called a “recession,” but if it continues for a long time it is known as a “depression.”